Self Employed User Guide

DIY Accounting Self Employed User Guide

Thank you for using DIY Accounting as your self employed accounting system.

Written upon Excel spreadsheets, the Self Employed accounting system is based upon single entry accounting principles which has been automated through use of Excel formulae, significantly reducing the need for bookkeeping or accounting knowledge with all accounting entries automated.

Entering the data is no more complicated than entering your financial information in 3 lists:

- Enter sales receipts on the **Sales** spreadsheet
- Enter purchases on the **Purchases** spreadsheet
- Enter cash and bank transactions on the preset **Cash** and **Bank** spreadsheets

The package contains many features including automated calculation of tax allowances, income tax, stock control and an all important payroll interface which permits the package to be used with or without the automated Payroll Software.

Contents

- Contact Information

Preparing to Get Started

Download and Install

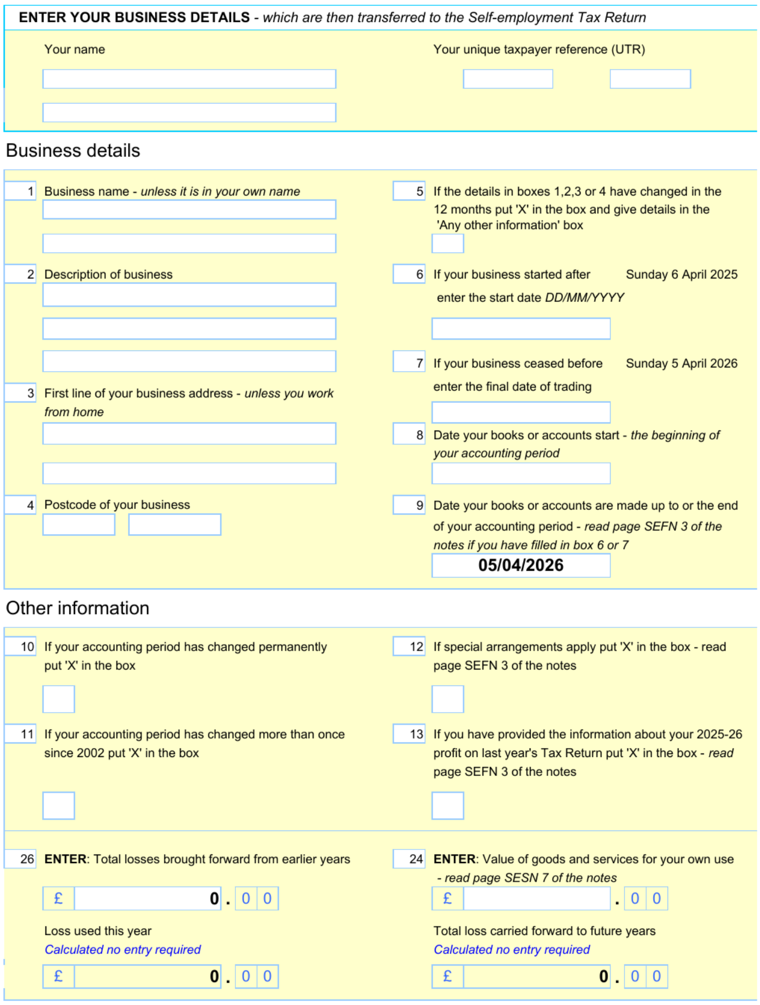
1. Go to the download page on the DIY Accounting website.
2. Download the package for your version of Excel.
3. Save the zip file to a location on your computer, ideally in your Documents folder.
4. Extract the contents of the zip file to a new folder by right clicking on the zip file and selecting “Extract All”.
5. Open the extracted folder – you will find the spreadsheet files and this guide.

Important: When downloading the files do not open the files before saving to your DIY Accounting folder. Opening a file first before saving creates temporary links between the files. Save all files directly to the accounts folder without opening the files first.

Package Contents

The Self Employed package contains these files:

File	Purpose
Sales.xlsx	Monthly sales records (Apr–Mar) with opening/closing debtors
Purchases.xlsx	Monthly purchase records (Apr–Mar) with opening/closing creditors
Bank.xlsx	Monthly bank reconciliation (Apr–Mar)
Cash.xlsx	Monthly cash reconciliation (Apr–Mar)
Financialaccounts.xlsx	P&L, Income Tax, SE returns, stock control, wages interface
Vat.xlsx	Five quarterly VAT returns with automated Vat interface
Payslips.xlsx	Payroll payslip generator (optional)
Fixedassets.xlsx	Fixed asset schedule, depreciation, capital allowances
Salesinvoice.xlsx	Sales invoice template with customer/product database



ENTER YOUR BUSINESS DETAILS - *which are then transferred to the Self-employment Tax Return*

Your name

Your unique taxpayer reference (UTR)

Business details

1 Business name - *unless it is in your own name*

2 Description of business

3 First line of your business address - *unless you work from home*

4 Postcode of your business

5 If the details in boxes 1,2,3 or 4 have changed in the 12 months put 'X' in the box and give details in the 'Any other information' box

6 If your business started after Sunday 6 April 2025 enter the start date *DD/MM/YYYY*

7 If your business ceased before Sunday 5 April 2026 enter the final date of trading

8 Date your books or accounts start - *the beginning of your accounting period*

9 Date your books or accounts are made up to or the end of your accounting period - *read page SEFN 3 of the notes if you have filled in box 6 or 7*

05/04/2026

Other information

10 If your accounting period has changed permanently put 'X' in the box

11 If your accounting period has changed more than once since 2002 put 'X' in the box

12 If special arrangements apply put 'X' in the box - read page SEFN 3 of the notes

13 If you have provided the information about your 2025-26 profit on last year's Tax Return put 'X' in the box - *read* page SEFN 3 of the notes

26 **ENTER**: Total losses brought forward from earlier years

£ 0 . 0 0

Loss used this year

Calculated no entry required

£ 0 . 0 0

24 **ENTER**: Value of goods and services for your own use - *read page SESN 7 of the notes*

£ . 0 0

Total loss carried forward to future years

Calculated no entry required

£ 0 . 0 0

Business Details — enter your business information for the SE tax return

Previous Year Accounts

As Self Employed businesses are not required to produce a Balance Sheet each year, entering previous year balances is optional. Entering previous year fixed assets is important to correctly calculate capital allowances due.

Opening Fixed Assets: Enter the original cost and accumulated depreciation totals for each category of fixed asset on the Fixedassets > Schedule in the top section headed EXISTING FIXED ASSETS.

Sales not yet received: To track money still owed from the previous year, enter outstanding invoices on Sales > OpeningDebtors.

Purchases not yet paid: To track money owed to suppliers from the previous year, enter outstanding invoices on Purchases > OpeningCreditors.

Back Up

It is important to back up data at regular intervals. It is recommended that the files are backed up each week by emailing the files to yourself and then filing the most recently emailed files in a separate folder in your mail box.

Value Added Tax

Non VAT registered Business: To disable VAT calculation throughout the accounting system, go to Sales Spreadsheet Column H Row 2 Cell H2 and enter 0, and do the same on the Purchases Spreadsheet.

VAT Registration during the financial year: Go to Sales Spreadsheet Column H Row 2 Cell H2 in the month vat registration is effective. Enter 17.5 to overwrite the vat rate of 0%. Do the same on the Purchases Spreadsheet. VAT will then be automatically collected and recorded on the vat returns from that month onwards.

Flat Rate VAT registered Business: Businesses with turnover under the flat rate threshold may adopt a flat rate vat scheme. When a flat rate scheme is adopted, go to Sales Spreadsheet Column H Row 4 Cell H4 and enter the flat rate percentage. Go to Purchases Spreadsheet Column H Row 2 Cell H2 which should be changed to zero.

Protection and Parameters

Worksheet Protection

Three levels of protection may be applied to worksheets:

Level	Description
Unprotected	Manual entries to cells overwrite formulae in that cell
Protected	Manual entries are not permitted to preserve formulae

Level	Description
Password Protected	No entries required

Main data entry workbooks are **Unprotected**: Sales, Purchases, Cash and Bank, Fixed Assets, Financial Accounts Wages Interface.

Workbooks requiring none or occasional entries are **Protected**: Vat Returns, Stock Control.

Password Protected files: Self assessment tax return.

Formulae Parameters

Row 1 of the main data entry workbooks contains formulae that sum the contents of each column:

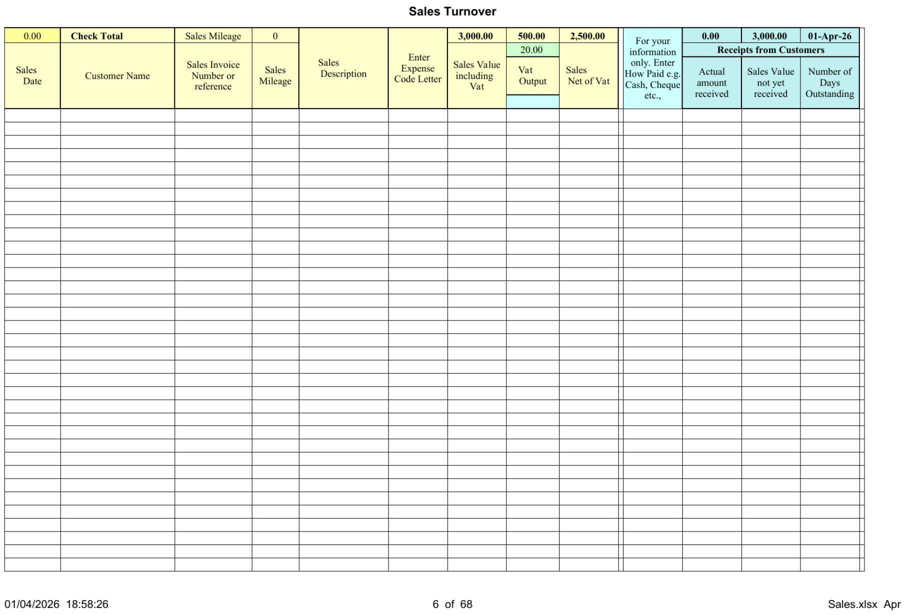
Workbook	Rows summed
Sales	to Row 300
Purchases	to Row 300
Cash and Bank	to Row 200

Data entries below these row limits will not be included in the column totals unless the formulae in Row 1 are amended.

Sales Spreadsheet

Record income from all sources, except bank interest received, in the Sales workbook using the separate spreadsheet provided for each month.

Enter sales credit notes and bad debts written off as negative amounts.



Sales Turnover

0.00	**Check Total**	Sales Mileage	0			**3,000.00**	**500.00**	**2,500.00**		**0.00**	**3,000.00**	**01-Apr-26**
							20.00			**Receipts from Customers**		
Sales Date	Customer Name	Sales Invoice Number or reference	Sales Mileage	Sales Description	Enter Expense Code Letter	Sales Value including Vat	Vat Output	Sales Net of Vat	For your information only. Enter How Paid e.g. Cash, Cheque etc.,	Actual amount received	Sales Value not yet received	Number of Days Outstanding

01/04/2026 18:58:26 6 of 68 Sales.xlsx Apr

Sales Apr sheet — enter sales transactions with date, customer, code letter, and gross value

Data Entry

Column	Entry
A	Date of the sales transaction
B	Customer name or source of sale
C	Reference or invoice number
D	Mileage incurred in connection with the sale (optional)
E	Description of the monies receivable (optional)
F	Code letter to analyse the type of income (see below)
G	Total amount receivable including any VAT chargeable
H	No entry required – formulae calculate VAT output tax
I	No entry required – formulae calculate net sales value
K	Cash or Bank accounting source of the amount received
L	Actual amount received

Sales Code Letters

Enter in Column F:

Code	Meaning
A	Sales turnover Product A

Code	Meaning
B	Sales turnover Product B
C	Sales turnover Product C
D	Other Direct Income
G	Investment Grants and Government incentive schemes
O	Bad Debt written off (outstanding 6+ months)
FS	Value of Fixed Assets Sold

Row One Totals

Each column is totalled to row 300 and collected on Financialaccounts > Monthly P&L to produce the monthly and annual profit and loss account and self assessment return.

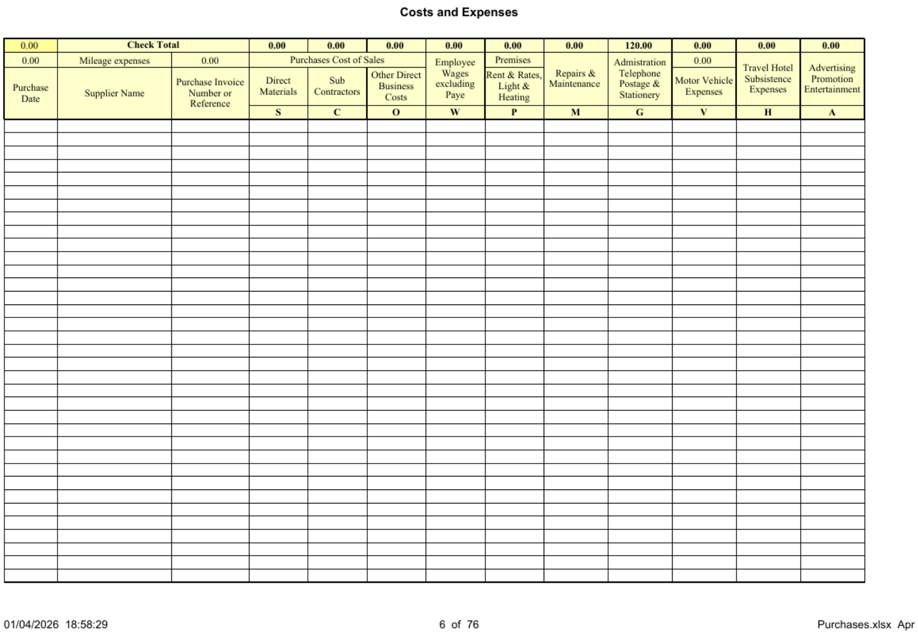
Opening and Closing Debtors

The **OpeningDebtors** worksheet maintains continuity of financial control for amounts due to the business from the previous year. The **ClosingDebtors** worksheet is used at year end – copy and paste items still outstanding from each month.

Purchases Spreadsheet

Record expenses from all sources, except bank interest and charges, in the Purchases workbook using the separate spreadsheet provided for each month.

Enter purchase credit notes as negative amounts.


Costs and Expenses

0.00	Check Total		0.00	0.00	0.00	0.00	0.00	0.00	120.00	0.00	0.00	0.00
0.00	Mileage expenses	0.00	Purchases Cost of Sales			Employee Wages excluding Paye	Premises	Repairs & Maintenance	Admistration Telephone Postage & Stationery	0.00	Travel Hotel Subsistence Expenses	Advertising Promotion Entertainment
Purchase Date	Supplier Name	Purchase Invoice Number or Reference	Direct Materials	Sub Contractors	Other Direct Business Costs		Rent & Rates, Light & Heating			Motor Vehicle Expenses		
			S	C	O	W	P	M	G	V	H	A

01/04/2026 18:58:29 6 of 76 Purchases.xlsx Apr

Purchases Apr sheet — enter purchase transactions with date, supplier, code letter, and gross value

Data Entry

Column	Entry
A	Date of the purchase transaction
B	Supplier name or source of purchase
C	Reference or purchase invoice number
D	Mileage incurred in connection with the purchase (optional)
E	Description of the business expense (optional)
F	Code letter to analyse the type of expense (see below)
G	Total amount payable including any VAT chargeable
H	No entry required – formulae calculate VAT input tax
I	No entry required – formulae calculate net purchase value
K	Cash or Bank accounting source of the amount paid
L	Actual amount paid

Purchase Code Letters

Enter in Column F:

Code	Meaning
S	Direct Materials purchased for resale including stock
C	Sub Contractor services resold to generate sales turnover
O	Other Direct Costs – any other cost of sales purchases
W	Employees gross wages not included in the PAYE system
P	Premises – rent, business rates, water rates, power costs
M	Repairs and Maintenance of business premises and equipment
G	General Administrative – telephone, postage, stationery
V	Motor Vehicle – fuel, tax, insurance, repairs
H	Travel and Hotel business expenses
A	

Code	Meaning
	Advertising, promotion and entertainment expenses
L	Legal and professional fees – accountants, solicitors, licences
Y	Other Expenses (use alternative category where possible)
FA	Fixed Asset purchases

Tax Hints

- Every expense item should ideally be receipted
- Mileage records have to be maintained showing date of journey, reason for journey and mileage covered
- Only the business element of phone bills may be reclaimed
- Only the business element of household bills may be claimed
- Mileage allowances of 45p for the first 10,000 miles and 25p per mile thereafter may be claimed as an alternative to vehicle running costs

Cash and Bank Spreadsheets

Sales and expenses are recorded on the Sales and Purchases workbooks not the Cash and Bank records. Entries to the Sales and Purchases workbooks create accounts of money owing. Entries to the Cash and Bank records are used to record the receipts from Debtors to Creditors.

As Balance Sheets by Self Employed businesses are optional, recording cash and bank is also optional.

Bank Reconciliation

Cell	Entry
A1	Enter the actual bank balance at the beginning of the first month
A2	No entries required – automatically calculates closing balance
A3	Enter the bank balance as shown on the bank statement
A4	No entries required – calculates Bank Reconciliation difference

Bank Receipts (Columns A–F)

Column	Entry
A	Date of the bank receipt
B	Source of the funds received
C	Sales invoice reference
D	Bank deposit reference (optional)
E	Code letter (BC, DR, CR, K, RV, DL, X)
F	Amount deposited

Bank Payments (Columns O–T)

Column	Entry
O	Date of the bank payment
P	Name of supplier or creditor paid
Q	Purchase invoice reference
R	Cheque number or reference (Bacs, DD)
S	Code letter (BC, CR, DR, W, B, J, RP, DL, X)
T	Amount paid

Fixed Assets

Fixed items are physical items not bought for resale but used by the business for a period of more than one year.

Fixed Assets Capital Allowances

	FIXED ASSETS		0.00	0.00	0.00		0.00	0.00	0.00		0.00		0.00	0.00	0.00
Date Asset Purchased	Asset Description	Purchase Reference	Original Cost	Accumulated Depreciation 06-Apr-25	Written Down **Book Value** 06-Apr-25	Deprn Rate %	Depreciation Charge current year	Accumulated Depreciation 05-Apr-26	Written Down **Book Value** 05-Apr-26	Enter % Personal use of vehicles	Written Down **Tax Value** 06-Apr-25	Annual Invest Allow **100%**	First Year Allowance	W Down Allowance **18%**	Written Down **Tax Value** 05-Apr-26
EXISTING FIXED ASSETS at	**Sunday 6 April 2025**														
Land & Property						0%									
						0%									
						0%									
						0%									
	Existing Land & Property		0.00	0.00	0.00		0.00	0.00	0.00		0.00		0.00	0.00	0.00
Plant & Machinery						10%									
						10%									
						10%									
						10%									
						10%									
						10%									
	Existing Plant & Machinery		0.00	0.00	0.00		0.00	0.00	0.00		0.00		0.00	0.00	0.00
Fixtures & Fittings						20%									
						20%									
						20%									
						20%									
						20%									
						20%									
	Existing Fixtures & Fittings		0.00	0.00	0.00		0.00	0.00	0.00		0.00		0.00	0.00	0.00
Computers						33%									
						33%									
						33%									
						33%									
						33%									
						33%									
	Existing Computers		0.00	0.00	0.00		0.00	0.00	0.00		0.00		0.00	0.00	0.00
	Motor Vehicles - costing over £ 12,000					25%									
						25%				0%					
						25%				0%					
						25%				0%					
						25%				0%					
						25%				0%					
	Motor Vehicles - costing under £ 12,000														
						25%				0%					
						25%				0%					
						25%				0%					
						25%				0%					
						25%				0%					
Motor Vehicles - Vans & Lorries															
						25%				0%					
						25%				0%					
						25%				0%					
						25%				0%					
						25%				0%					
	Existing Motor Vehicles		0.00	0.00	0.00		0.00	0.00	0.00		0.00		0.00	0.00	0.00
EXISTING FIXED ASSETS at	**Sunday 6 April 2025**		0.00	0.00	0.00		0.00	0.00	0.00		0.00		0.00	0.00	0.00

01/04/2026 18:58:32 1 of 7 Fixedassets.xlsx Schedule

Fixed Assets Schedule — asset categories with automatic depreciation and capital allowance calculations

Depreciation Rates

The following depreciation rates have been preset:

Category	Rate
Land & Buildings	0%
Plant & Machinery	10%
Fixtures & Fittings	20%
Computer Equipment	33%
Motor Vehicles	25%

Fixed Asset Additions

Expenditure on Fixed assets is recorded on the Purchases worksheet with code **FA**. All items entered on the Purchases spreadsheet also have to be manually entered on the Fixedassets > Schedule in the New Assets section which starts at Row 56.

Capital Allowances

Annual Investment allowances, first year allowances, writing down allowances and balancing charges are automatically calculated using the current tax rates which have been preset.

Fixed Assets Reconciliation

Fixedassets > FAreconciliation compares Fixed Asset Purchases and Sales entered on the Fixedassets > Schedule to indicate that all entries have been included. If Row 15 is zero, all records have been entered accurately.

VAT Returns

No entries required. Sales and Purchase totals are collected by the Vatinterface. Five automated Vat Returns are provided for each of the potential quarters during the financial year.

Value Added Tax Return

Copy values in boxes to your Vat return

To calculate vat payable
1.Click Cell G5 Vat Period
2.Click down arrow
3.Select Vat quarter end date

VAT Period ends	Monday 30 June 2025
Due date:	31 July 2025

VAT due on **sales**	1	0.00
VAT due on **purchases** from **other EU states**	2	0.00
VAT due on **sales**	3	0.00
VAT reclaimed on **purchases**	4	0.00
Net VAT to be RECLIAMED from Customs	5	0.00
Total value of sales excluding VAT	6	0
Total value of **purchases** excluding VAT	7	0

Note: Box 2 is set to zero, any amounts due should be calculated and inserted manually
If goods are bought or sold to other EU states boxes 8 & 9 on the return will require completion

Vat returns must be received by HM Customs & Excise on or before the due date to avoid surcharges
Make cheques payable to "H M Customs and Excise" and write your VAT registration number on the back
Quote your VAT registration number as a reference if paying direct by bank
Account Name: HMCE VAT: Account No: 52055000 Sort Code: 10 00 00

VAT Return — automated quarterly VAT return generated from Sales and Purchases totals

To Generate a Vat Return:

1. Go to Vatreturns > VATQtr1
2. Click Cell G5 which contains the date to which the vat return is to be produced
3. Click the Drop Down Arrow to the right of Cell G5
4. Scroll Down and Click the month end date required

The formula then automatically looks up the values and inserts the amounts in the vat return.

Payroll Integration

The Financialaccounts file contains a WagesInterface which can be entered manually if users are not using the DIY Accounting Payroll Software.

The Payslips file is provided as a payslip generator (see separate Payslip User Guide for instructions). Using the payslip generator provides automatic integration with the Accounting Software as the WagesInterface is linked directly from these files.

Financial Accounts

Stock Control

The Stock Control worksheet is for businesses that carry physical stock of goods for resale. Cells H4 N4 T4 have been preset to 0% which disables the Stock Control feature. Enter the actual percentage of stock value to enable.

Cell D6 and Cell AB6 – Opening Stock. Enter manually. Cell AB30 – Enter Year End Physical Stock Value.

Wages Interface

Enter wages information manually at the Financialaccounts > WagesInterface for all months.

Column	Entry
C	Gross Wages for Employees and Directors
D	Income Tax deducted from gross wages
E	National Insurance deducted from gross wages
F	Other Deductions from wages
G	No Entry required – Net Wages calculated
H	Employers National Insurance contributions
I	Statutory Deductions recoverable from HMRC

HM Revenue & Customs

COPY DETAILS TO HMRC FORM
Submit HMRC RETURN ONLINE
by 31st January 2027

Self-employment (full)

Tax year Sunday 6 April 2025 to Sund

Your name

Your unique taxpayer reference (UTR)

Business details

1 Business name - *unless it is in your own name*

2 Description of business

3 First line of your business address - *unless you work from home*

4 Postcode of your business

5 If the details in boxes 1,2,3 or 4 have changed in the 12 months put 'X' in the box and give details in the 'Any other information' box

6 If your business started after Sunday 6 April 2025 enter the start date *DD/MM/YYYY*

7 If your business ceased before Sunday 5 April 2026 enter the final date of trading

8 Date your books or accounts start - *the beginning of your accounting period*

9 Date your books or accounts are made up to or the end of your accounting period - *read page SEFN 3 of the notes if you have filled in box 6 or 7*

05/04/2026

Other information

10 If your accounting period has changed permanently put 'X' in the box

11 If your accounting period has changed more than once since 2002 put 'X' in the box

12 If special arrangements apply put 'X' in the box - read page SEFN 3 of the notes

13 If you have provided the information about your 2007-08 profit on last year's Tax Return put 'X' in the box - *read* page SEFN 3 of the notes

Business income

14 Your turnover - *the takings, fees, sales or money earned* by your business

£ **30,000** . 0 0

15 Any other business income not included in box 14 - *excluding Business Start-up Allowance*

£ **0** . 0 0

SE Full — self-employment tax return populated automatically with turnover and tax calculations

Calculating your taxable profit or loss (continued)

If you start or finish self-employment and your accounting period is not the same as your basis period (or there are overlaps, or gaps in your basis periods), or in certain situations or trades or professions, you may need to make further adjustments - *read pages SEFN 13 to SEFN 15 of the notes.*

65 Date your basis period began *DD/MM/YYYY*

66 Date your basis period ended

67 If your basis period is not the same as your accounting period, enter the adjustment needed to arrive at the profit or loss for the basis period - *if the adjustment needs to be taken off the profit figure put a minus sign (-) in the box*
£ — . 0 0

68 Overlap relief used this year - *read page SEFN 17 of the notes*
£ . 0 0

69 Overlap profit carried forward
£ . 0 0

70 Adjustment for change of accounting practise - *read page SEFN 17 of the notes*
£ . 0 0

71 Averaging adjustment (only for farmers, market gardeners and creators of literary or artistic works) - *if the adjustment needs to be taken off the profit figure put a minus sign (-) in the box*
£ — . 0 0

72 Adjusted profit for 2025-26 (box 63 or 64 + box 67 minus box 68 +box 70 +box 71) - if a loss, enter it in box 76
£ **25,800** . 0 0

73 Loss brought forward from earlier years set-off against this year's profits - *up to the amount in box 63 or box 72 whichever is greater*
£ **0** . 0 0

74 Any other business income not included in boxes 14, 15 or 59 - *for example, Business Start -up Allowance*
£ **0** . 0 0

75 Total taxable profits from this business (box 72 minus box 73 + box 74 - *or use the Working Sheet on page SEFN 18)*
£ **25,800** . 0 0

Losses

If you have made a net loss for tax purposes (in box 63), or if you have losses from previous years, read page SEFN 15 of the *notes* and fill in boxes 75 to 78 as appropriate.

76 Adjusted loss 2025-26 (box 63 or 64 + box 67 ,minus box 68 + box 70 + box 71)
£ **0** . 0 0

77 Loss from this tax year set off against other income for 2025-26
£ . 0 0

78 Loss to be carried back to previous year(s) and set off against income (or capital gains)
£ . 0 0

79 Total loss to carry forward after all other set-offs *- including unused losses brought forward*
£ **0** . 0 0

Deductions and tax taken off

80 Deductions on payment and deduction statements from contractors - *construction industry subcontractors only*
£ **0** . 0 0

81 Other tax taken off trading income
£ . 0 0

SE Full — tax calculation showing taxable profit, capital allowances, losses and NI deductions

Income Tax

No Entries Required. Fully automated and available in real time to determine the Income Tax and National Insurance contributions payable after adding back disallowed expenses and deducting capital allowances.

Profit Forecast

No Entries Required. Fully automated. The forecast collects the actual profit or loss each month and projects the likely year end liability for tax and national insurance.

Sales Invoice

The Sales Invoice workbook is independent of the accounting package and is optional. Use it to quickly and efficiently produce sales invoices.

Business Details

Enter the main business details on the Business Details sheet. Cell B2: the short business name. Cells B3–B10: address and contact details. Cell B11: VAT registration number.

Producing a Sales Invoice

Enter data in the Invoice Database: Column B (invoice number), Column C (customer code), Column D (carriage/postage), Column F (product code), Column G (quantity). To print: go to Invoice Template > File > Print.

Contact Information

Our website is the first place to look for any information: http://www.diyaccounting.co.uk/

DIY Accounting’s spreadsheet packages are maintained and supported under an Open Source model. In return for allowing anyone access to our source files, we find an indefinite low-cost home at GitHub.

Please raise a question in our discussion forum here: https://github.com/antonycc/diy-accounting/discussions

Or donate to help keep the packages updated here: https://www.paypal.com/donate/?hosted_button_id=XTEQ73HM52QQW